

Whitmore Products Company AUDIT PLANNING Audit Selection Plan	WORKPAPER REF. PL-ASP PREPARED BY: _____ DATE: _____ REVIEWED BY: _____ DATE: _____
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Population analyzed is the number of records subjected to reconciliation or data analysis. It is not the number receiving detailed inspection. Detailed tests equal targeted items plus the residual sample.

PROCEDURE	SAMPLING UNIT	POPULATION	ANALYZED	TARGETED	RESIDUAL	DETAIL	REVIEW STATUS
Cash reconciling items	Reconciling Item	13	13	3	6	9	Within Guardrails
AP vouching	Vendor Invoice	445	445	20	6	26	Within Guardrails
Accrued expenses	Accrual Category	7	7	7	0	7	Within Guardrails
AR confirmations	Customer Invoice Balance	36	36	5	6	11	Within Guardrails
Inventory valuation	Inventory Lot	76	76	10	6	16	Within Guardrails
Fixed asset additions	Fixed Asset	12	12	12	0	12	Within Guardrails
Debt confirmations	Debt Instrument	1	1	1	0	1	Within Guardrails
Journal entry testing	Journal Entry	2466	2466	20	9	29	Within Guardrails
Prepaid testing	Prepaid Item	5	5	5	0	5	Within Guardrails
Revenue occurrence	Invoice Or Revenue Transaction	146	146	20	9	29	Within Guardrails
Payroll testing	Employee	5	5	5	0	5	Within Guardrails
Opening balances	Opening Account Balance	43	43	10	6	16	Within Guardrails

PROCEDURE RATIONALE

Cash reconciling items. Objective: Test the existence, accuracy, and cutoff of reconciling items. Population work: reconcile every material bank account; scan all reconciling items. Detailed selection: documented qualitative risk indicators; largest items above the procedure key-item reference amount; nonstatistical residual selection.

AP vouching. Objective: Test recorded purchases and liabilities for occurrence, accuracy, and cutoff. Population work: reconcile AP to the general ledger; scan invoices, receiving records, and subsequent disbursements. Detailed selection: documented qualitative risk indicators; largest items above the procedure key-item reference amount; nonstatistical residual selection.

Accrued expenses. Objective: Test significant and judgmental accrued expenses. Population work: reconcile the accrued-expense schedule; compare all accrual categories analytically. Detailed selection: documented qualitative risk indicators; largest items above the procedure key-item reference amount; nonstatistical residual selection.

AR confirmations. Objective: Confirm customer balances or perform documented alternatives. Population work: reconcile the AR aging to the general ledger; analyze the complete aging. Detailed selection: documented qualitative risk indicators; largest items above the procedure key-item reference amount; nonstatistical residual selection.

Inventory valuation. Objective: Test inventory existence and valuation using appropriate inventory items. Population work: reconcile the inventory listing; analyze all lots for value, aging, classification, and count adjustments. Detailed selection: documented qualitative risk indicators; largest items above the procedure key-item reference amount; nonstatistical residual selection.

Fixed asset additions. Objective: Test material and unusual additions, disposals, and classifications. Population work: reconcile the fixed-asset rollforward; scan all additions and disposals. Detailed selection: documented qualitative risk indicators; largest items above the procedure key-item reference amount; nonstatistical residual selection.

Debt confirmations. Objective: Confirm and inspect material debt instruments. Population work: reconcile all debt instruments; inspect all material agreements and covenant terms. Detailed selection: documented qualitative risk indicators; largest items above the procedure key-item reference amount; nonstatistical residual selection.

Journal entry testing. Objective: Test entries identified by fraud-risk criteria and a residual selection. Population work: perform completeness checks over the full journal; apply risk filters to the full journal-entry population. Detailed selection: documented qualitative risk indicators; largest items above the procedure key-item reference amount; nonstatistical residual selection.

Prepaid testing. Objective: Test material or unusual prepaid balances when scoped. Population work: reconcile the prepaid schedule; scan all balances for unusual items. Detailed selection: documented qualitative risk indicators; largest items above the procedure key-item reference amount; nonstatistical residual selection.

Revenue occurrence. Objective: Test recorded revenue for occurrence, accuracy, and cutoff. Population work: analyze the complete sales population; scan for gaps, duplicates, unusual terms, and cutoff indicators. Detailed selection: documented qualitative risk indicators; largest items above the procedure key-item reference amount; nonstatistical residual selection.

Payroll testing. Objective: Test employee compensation records and payroll cutoff. Population work: reconcile every payroll run to cash and the general ledger; analyze the full payroll-run population. Detailed selection: documented qualitative risk indicators; largest items above the procedure key-item reference amount; nonstatistical residual selection.

Opening balances. Objective: Obtain sufficient evidence over material opening balances. Population work: reconcile opening accounts to prior-year or predecessor support. Detailed selection: documented qualitative risk indicators; largest items above the procedure key-item reference amount; nonstatistical residual selection.